

SECTION B – WRITTEN QUESTIONS (TOTAL: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (12 marks – approximately 21 minutes)

WE Beauty Company engages in retail industry specialising in selling cosmetics. On 3 April 2022, the company received its bank statement issued by Asia Bank. The company found that the monthly balance as at 31 March 2022 did not agree with its bank account in the ledger which showed a credit balance of HK\$11,560. After investigation, the accountant of the company found out the following reasons:

- (1) Two cheques amounting to HK\$8,800 received from customers were put inside the cheque box of Asia Bank at the mid-night of 31 March 2022, and Asia Bank processed the two cheques on 1 April 2022.
- (2) Electricity charges of HK\$3,500 were directly transferred from Asia Bank via standard instruction on 31 March 2022, but the company had not yet recorded these in the bank account in the ledger.
- (3) On 4 April 2022, Asia Bank informed WE Beauty Company that the cheque drawn to settle a payment to a supplier for HK\$45,000 could not be processed by the supplier's bank due to a wrong signature. The company had not yet recorded the return of this cheque in the bank account in the ledger.
- (4) A cheque amounting to HK\$7,900 drawn had not been processed by Asia Bank until 2 April 2022.
- (5) A payment of HK\$3,200 had been entered in the debit side of the bank account in the ledger as HK\$2,300.
- (6) It was found that a cheque drawn by ME Pretty Company in the amount of HK\$9,000 had been wrongly recorded in the bank statement of WE Beauty Company.
- (7) It was found that the credit balance of the bank account in the ledger as at 31 March 2022 was overstated by HK\$1,200.

Required:

- (a) **Prepare the bank account in the ledger for March 2022 for WE Beauty Company.**
(6 marks)
- (b) **Prepare the bank reconciliation statement as at 31 March 2022 for WE Beauty Company.**
(6 marks)

Question 2 (29 marks – approximately 53 minutes)

The following balances relate to Marvel Limited as at 31 March 2022:

	HK\$	HK\$
Sales		8,560,000
Purchases	3,457,000	
Returns outwards		123,000
Carriage inwards	334,000	
Carriage outwards	245,000	
Rent and rates	664,000	
Utilities	480,000	
Selling and distribution costs	389,000	
Salaries	732,000	
Entertainment expenses	222,000	
Ordinary share capital		5,000,000
Retained earnings, as at 1 April 2021		1,894,400
Revaluation reserve		2,000,000
General reserve		1,000,000
3% Bank loan		3,000,000
Trade payables		774,900
Trade receivables	889,000	
Allowance for impairment loss on trade receivables		50,000
Inventory, as at 1 April 2021	632,100	
Cash at bank	438,200	
Building	10,400,000	
Furniture and equipment	7,500,000	
Accumulated depreciation, as at 1 April 2021		
- Building		2,080,000
- Furniture and equipment		2,400,000
Interim dividends (ordinary shares)	500,000	
	<u>26,882,300</u>	<u>26,882,300</u>

Additional information:

- (1) The cost of inventory as at 31 March 2022 was HK\$777,000.
- (2) The following information is available for non-current assets:
 - The company adopts the revaluation model for building while it adopts the cost model for all other tangible non-current assets.
 - Building is depreciated on a straight-line basis over their estimated useful economic life of 40 years.
 - It is the policy of the company to eliminate the accumulated depreciation against the gross carrying amount of the asset in a revaluation.
 - The building was revalued at HK\$9,600,000 on 31 March 2022 but this has not yet been recorded in the books of the company.
 - Furniture and equipment are depreciated using the reducing balance method at the annual depreciation rate of 10%.
 - Depreciation for the year ended 31 March 2022 had not yet been provided.
- (3) Salaries amounting to HK\$60,000 for the month of March 2022 were settled and recorded on 6 April 2022 while rent of HK\$90,000 for three months ended 30 April 2022 were paid and recorded on 2 February 2022.
- (4) The bank loan was borrowed one year ago and should be repaid in full in 2026. Interest for the year ended 31 March 2022 has still not yet been recorded in the books of the company.
- (5) The company performs impairment assessment on trade receivables at the end of each year, and the allowance for impairment loss on trade receivables as at 31 March 2022 was assessed at HK\$20,000.
- (6) On 2 April 2022, the accountant of the company found that entertainment expenses amounting to HK\$30,000 were wrongly classified as selling and distribution costs.
- (7) Income tax on current year profit was estimated to be HK\$220,000.
- (8) On 31 March 2022, the directors of the company recommended transferring HK\$800,000 to the general reserve.

Required:

- (a) **Prepare the statement of profit or loss and other comprehensive income for the year ended 31 March 2022 for Marvel Limited.**
(16 marks)
- (b) **Prepare the statement of financial position as at 31 March 2022 for Marvel Limited.**
(13 marks)

(Show all your workings.)

Question 3 (25 marks – approximately 45 minutes)

Planet Limited engages in wholesale industry and ends its financial year on 31 March. On 31 March 2022, it had the following account balances:

	HK\$
<u>Non-current assets:</u>	
Furniture - Cost	4,200,000
- Accumulated depreciation	1,400,000
<u>Current assets:</u>	
Inventory	424,000

The accountant of Planet Limited found that the following transactions **had not yet been recorded/ considered** in the books of Planet Limited:

- (1) Additional furniture was acquired on 1 October 2021, and the costs were as follows:

	HK\$
Invoice price	200,000
Delivery cost	15,000
Installation cost	10,000
Insurance fee on delivery of furniture from the supplier to the head office of Planet Limited	1,000
1-year warranty	2,000

Planet Limited settled the above costs by two means, with half of the amount being settled by cash while the remaining half by a 4% bank loan. Bank loan interest is payable half-yearly on 1 April and 1 October each year.

On 31 March 2022, a sofa was sold for cash at HK\$50,000. The sofa had been acquired at cost of HK\$100,000 on 1 April 2018.

It is the policy of Planet Limited to depreciate furniture at the rate of 10% per annum using the straight-line method. Depreciation is charged on a monthly basis.

- (2) Inventory balance as shown on 31 March 2022 was actually extracted from the record as at 3 April 2022. However, Planet Limited did not take into consideration of the following movement of inventory:
- (i) Inventory item no. "AK223" had been missed in the value of closing inventory. Here is the movement record for inventory item no. "AK223" for the year ended 31 March 2022:

<u>Date</u>	<u>Description</u>	<u>Quantity</u>	<u>Unit price</u> HK\$
1 Apr 2021	Balance b/f	700	300
5 Jun 2021	Sales	600	500
9 Jul 2021	Purchases	400	250
4 Nov 2021	Purchases	500	280
2 Feb 2022	Sales	800	550

It is the policy of Planet Limited to adopt the weighted average inventory cost method to record its inventory.

- (ii) Credit purchases of HK\$40,000 was made on 1 April 2022.
- (iii) Goods were sold for HK\$60,000 on 2 April 2022. It is the policy of Planet Limited to sell goods at a mark-up of 20% on cost.

Required:

- (a) Prepare the relevant journal entries (with narrative) to record the transactions as specified in (1) above for the year ended 31 March 2022. (18 marks)

- (b) Based on the information provided in (2) above, calculate the correct inventory balance as at 31 March 2022 for Planet Limited. (7 marks)

(Show all your workings.)

Question 4 (14 marks – approximately 25 minutes)

iMall Limited operates an e-shop in Hong Kong and ends its financial year ended 31 March. The accountant of the company is now considering the following accounting treatments:

- (1) Over the years, all motor vehicles have been depreciated using the reducing balance method with a depreciation rate of 10%. Due to the growth in online purchase in Hong Kong, the company acquired two more motor vehicles for arranging delivery of goods to customers. These two new motor vehicles are to be depreciated using the straight-line method with an estimated useful life of five years.
- (2) On 28 February 2022, the company was being sued by a customer on his damage caused by the sofa sold in the e-shop. It was confirmed that the company had lost the case but the settlement had not yet been finalised by the court. Based on the estimation made by the accountant, the company recorded a provision for legal claim of HK\$60,000 as expense for the year ended 31 March 2022.

Required:

Analyse whether the above-mentioned accounting treatments are appropriate for iMall Limited. In each case, you are required to support your analysis with ONE relevant accounting principle/ basis/ concept and ONE enhancing qualitative characteristic.

(14 marks)

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